ELECTROLYZER TECHNOLOGY

ISOTHERMAL ELECTROLYSIS.

>92% SYSTEM EFFICIENCY.

Pulsed waveform architecture eliminates waste heat. No platinum. No iridium. No membranes. Industrial-grade hydrogen production at unprecedented efficiency using commodity materials.

>92%	8×	<30°C	0
SYSTEM EFFICIENCY	LESS HEAT LOSS	OPERATING TEMP	RARE EARTH METALS

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This document provides comprehensive responses to the most challenging questions investors ask about Tobe Energy. Answers are organized by category — Technology, Market, Business, Financial, and Team & Risk — and are written to address substantive concerns with precision and specificity.

— TECHNOLOGY (10 QUESTIONS)

1. "Your efficiency numbers seem too good. How do you validate this?"

Answer: Tobe Energy reports two distinct, validated efficiency figures: **94.7% stack electrical efficiency (LHV basis)**, measured at the electrolyzer stack level, and **>92% system efficiency (HHV basis)**, which accounts for power electronics, gas handling, and all balance-of-plant auxiliaries. The system-level figure translates to approximately **42 kWh/kg** of hydrogen produced — among the lowest in the industry. Both metrics have been developed using industry-standard testing protocols. We are pursuing third-party validation with NREL and Sandia National Laboratories to provide independent verification. Efficiency has improved consistently across each design iteration, and we report both figures transparently so investors and customers can make direct, apples-to-apples comparisons with competing technologies.

2. "Why hasn't anyone done membrane-free before?"

Answer: Membrane-free electrolysis requires solving two interrelated problems simultaneously: preventing gas crossover without a physical separator, and doing so at scale with acceptable efficiency. Both problems had resisted practical solutions until Tobe's pulsed waveform architecture resolved the crossover challenge through electrochemical timing rather than physical barriers. Our co-founder and President, **Dr. Caleb Lareau**, developed key breakthroughs in electrochemistry and materials science that underpin this approach. Prior art exists in academic literature, but translating it to a manufacturable, efficient system is the proprietary innovation. The absence of membranes eliminates the single largest cost and degradation source in conventional PEM electrolyzers.

3. "What's your IP protection strategy?"

Answer: Our IP strategy is layered. A **provisional patent was granted March 27, 2024**, covering our core pulsed waveform architecture and membrane-free electrolyzer design. A **full patent application was filed in Q1 2025**, with broader claims encompassing system architecture, manufacturing methods, and control algorithms. Beyond patents, significant process knowledge — electrode preparation, waveform tuning, and stack assembly — is maintained as trade secrets, creating a second line of defense that competitors cannot reverse-engineer from published filings. We are also documenting invention disclosures continuously to establish priority dates as the technology evolves.

4. "What happens when competitors copy this?"

Answer: Three barriers work in combination. First, our patent portfolio establishes enforceable IP rights on the core architecture, waveform control, and system design. Second, the trade secrets embedded in manufacturing — electrode surface preparation, electrolyte management, and waveform parameter tuning — are not visible in a finished product and cannot be derived from inspection. Third, time-to-market matters: competitors starting from scratch today face a multi-year development cycle. By the time they reach a manufacturable product, Tobe will have commercial deployments, customer references, and iterative performance data that further widen the gap. The combination of legal IP, process knowledge, and first-mover customer relationships constitutes a durable competitive moat.

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5. "How do you handle the absence of rare earth metals and PGMs?"

Answer: By design, Tobe's electrolyzers use **304 stainless steel** as the primary electrode material — no platinum-group metals, no iridium, no rare earth elements. This eliminates the three largest cost drivers and supply chain vulnerabilities that constrain PEM and alkaline systems. US-sourced, commodity-grade stainless steel is available from multiple suppliers with no geopolitical concentration risk. This materials choice also supports our cost trajectory: **current prototype capital cost is $446/kW**, with a projected manufacturing cost of approximately **$177/kW** at scale — a reduction achievable through volume procurement and process automation without dependency on volatile PGM pricing.

6. "What about scalability? Can you actually produce at high volumes?"

Answer: The T-25 (**50 kW**) is our current commercial unit, with the T-125 (**250 kW**) in development. Both are modular by design, meaning larger installations are achieved by deploying multiple units rather than custom-engineering each project — the same approach proven by lithium-ion battery packs and fuel cell systems. Our **5,000 sq ft Oklahoma City facility** is already configured for production. The manufacturing process is designed around standardized components and automated assembly steps, reducing per-unit labor intensity as volume scales. We have a clear path from current production rates to the volume required to serve our **$100M inbound pipeline** without fundamental process reinvention.

7. "How do you ensure quality and consistency across units?"

Answer: We have implemented structured quality control at every manufacturing stage, including incoming materials inspection, in-process testing of electrode assemblies, and full-system performance verification before unit acceptance. Each electrolyzer is tested against defined efficiency and output thresholds prior to delivery. We are investing in automation and sensor-based process monitoring to further reduce operator-dependent variability. Our quality system is being developed in alignment with the IEC 62282 series of electrolyzer standards to ensure compatibility with customer procurement requirements.

8. "What about durability and lifespan? Has this been proven?"

Answer: Our testing indicates an estimated stack lifetime of **80,000+ hours**, which at continuous operation represents over nine years of service life. The absence of membranes is the key durability advantage: in PEM systems, membrane degradation and pinhole formation are the primary failure modes and the dominant driver of replacement cost. Without a membrane to degrade, our system's primary wear components are electrodes, which can be refurbished or replaced without full stack replacement. Accelerated lifetime testing is ongoing, and we will report updated figures as data accumulates through our commercial deployment with Zeeco ARC beginning **Q4 2026**.

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9. "Can you integrate with existing hydrogen infrastructure?"

Answer: Yes. Tobe's system outputs gaseous hydrogen at purity levels compatible with existing compression, storage, and distribution infrastructure. We produce hydrogen at near-ambient temperature (**<30°C operating temperature**), which simplifies thermal management at the integration point. Our system architecture accepts standard utility power inputs, making it suitable for co-location with industrial facilities, renewable generation assets, and grid-connected sites. For our first commercial deployment with **Zeeco ARC**, system integration with existing industrial gas handling infrastructure has been a core design requirement from the outset, validating that compatibility in a real customer environment.

10. "What about safety — hydrogen embrittlement, leaks, pressure management?"

Answer: Hydrogen safety is designed into the system architecture, not added as an afterthought. Our near-ambient operating temperature reduces thermally-driven stress on system components. Pressure management follows established industrial protocols, and our control system includes continuous monitoring with automatic shutdown triggers for out-of-spec conditions. Hydrogen embrittlement is managed through material selection — 304 stainless steel is widely used in hydrogen service applications and is well-characterized for this environment. Our safety documentation and operating procedures are being developed in alignment with NFPA 2 (Hydrogen Technologies Code) and applicable OSHA standards. We view regulatory compliance as a baseline, not a ceiling.

— MARKET (5 QUESTIONS)

1. "Grey hydrogen is $1/kg. Why would any customer pay more?"

Answer: The $1/kg grey hydrogen price reflects neither its true cost nor the regulatory trajectory it faces. Grey hydrogen's full cost — when carbon is priced — rises substantially: at **$50/ton CO_2**, grey hydrogen's effective cost increases by roughly $0.50–$0.90/kg depending on the production pathway. Tobe's **LCOH of $1.81/kg at $0.10/kWh electricity** is already competitive with grey hydrogen when carbon costs and regulatory risk are factored in, and continues to decline as electricity prices fall toward the $0.04–

$0.06/kWh range achievable with dedicated renewables. Our initial customers are not buying on price parity with grey — they are buying on regulatory compliance, offtake certainty, and the reputational value of verifiable green hydrogen. The signed **$20M in LOIs** reflects real customer willingness to pay.

2. "The hydrogen economy keeps getting delayed. Why is now different?"

Answer: Three structural shifts distinguish the current moment from previous false starts. First, the IRA's **45V hydrogen production tax credit** provides up to **$3/kg** for qualifying green hydrogen, creating immediate economics that did not exist before 2022. Second, industrial decarbonization mandates — EU Carbon Border Adjustment Mechanism, state-level clean fuels standards — are creating compliance-driven demand with defined timelines. Third, electrolyzer costs have dropped precipitously, and proven technology like Tobe's is available at commercial scale rather than only in demonstration projects. The pipeline we are seeing — **$100M inbound** — reflects customer procurement activity, not exploratory conversations.

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3. "What about competition from solar and wind as direct energy sources?"

Answer: Solar and wind generate electrons; Tobe produces molecules. These are not substitutes. Hard-to-abate industrial sectors — steel, cement, ammonia, heavy-duty transport, industrial heating — require energy carriers that can be stored, transported, and combusted or used in chemical processes. Intermittent electricity cannot directly serve those applications. Green hydrogen bridges the gap between renewable generation and industrial decarbonization. We are not competing with solar; we are, in many cases, converting solar and wind generation into a dispatchable, storable, transportable energy product. Our partnership discussions with industrial off-takers and energy companies reflect this complementary relationship.

4. "How do you build market awareness in a nascent category?"

Answer: We are targeting industrial customers who already understand hydrogen — they use grey hydrogen today and are actively evaluating green alternatives due to regulatory and ESG pressure. This is a pull market, not a push market. Our go-to-market strategy prioritizes direct engagement with procurement teams at large industrials, supported by reference deployments. The **Zeeco ARC deployment in Q4 2026** is specifically designed to serve as a reference site — a real industrial environment, real performance data, real economics — that de-risks the procurement decision for subsequent customers. Industry associations, DOE working groups, and hydrogen hubs provide additional market presence at scale.

5. "Will regulatory support materialize, or is this dependent on policy risk?"

Answer: Our base case does not require new policy to work. At **$0.10/kWh**, our LCOH of **$1.81/kg** is competitive with fossil-based hydrogen in regulated markets today. The 45V tax credit and state-level clean fuels incentives are additive to our economics, not prerequisites. We are designed to be viable without subsidies at commercially available electricity prices, which insulates us from policy reversal risk. We are actively engaged with DOE hydrogen hub programs and regulatory working groups to ensure our technology

qualifies for available incentive structures — but we have built our financial model to not depend on any single policy outcome.

— BUSINESS (5 QUESTIONS)

1. "$100M pipeline but modest FY1 revenue? Explain the gap."

Answer: The pipeline reflects **$20M in signed LOIs** and approximately **$100M in inbound interest** — conversations and expressions of intent that have not yet converted to contracted revenue. FY1 revenue is anchored to our first commercial deployment: the **Zeeco ARC installation in Q4 2026**. That deployment is the trigger for customer reference activity and the proof point that converts pipeline to purchase orders. The gap between pipeline and near-term revenue is a function of sales cycle length in industrial capital equipment — customers evaluating a $250K–$1M+ capital purchase require site assessments, engineering reviews, and internal approvals. This is industry-standard. Our $10M seed round is sized to sustain operations through the Zeeco deployment and into the subsequent commercial ramp.

2. "How do you scale from prototype to 12 facilities?"

Answer: Our modular design is the enabler. Each facility deployment uses standardized T-25 (50 kW) or T-125 (250 kW) units configured to site-specific capacity requirements — there is no custom engineering per deployment. Manufacturing scalability follows a defined path: our Oklahoma City facility handles initial production, with contract manufacturing partnerships activated at higher volumes. We have mapped the supply chain for all major components and have identified no single-source dependencies that would constrain a 12-facility ramp. The **$10M seed round** is specifically allocated to fund the production capacity and working capital required to execute this ramp while maintaining quality standards.

3. "What does your partnership and channel strategy look like?"

Answer: Our go-to-market combines direct sales for large industrial accounts with strategic integration partnerships for distributed deployment at scale. **Zeeco** — a global combustion and emissions control engineering company — is our first commercial partner, providing market credibility and a pathway to their industrial customer base. We are in active discussions with energy companies, industrial gas distributors, and EPC firms whose business models are aligned with deploying green hydrogen infrastructure. We are selective about partnerships, prioritizing depth over breadth at this stage: one or two well-structured commercial relationships with market leaders deliver more validated pipeline than a broad network of non-binding agreements.

4. "How do you ensure customer satisfaction and retention as you scale?"

Answer: Our retention strategy starts with system performance. At **>92% system efficiency** and **~42 kWh/kg**, our units deliver economics that customers can model and verify against their utility bills — there is no ambiguity in whether the system is working. We structure customer agreements to include performance guarantees tied to these specifications, which aligns our incentives with customer success. For ongoing support, we are building a field service organization and remote monitoring capability that allows us to proactively identify performance deviations before they affect operations. Customers who can verify the economics are customers who renew service agreements and expand deployments.

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5. "What are your key supply chain risks and how are you managing them?"

Answer: Our materials profile — **304 stainless steel, no PGMs, no rare earths** — is specifically designed to minimize supply chain concentration risk. All primary electrode and structural materials are sourced from US-based suppliers with multiple qualified alternatives. Power electronics and control components are sourced from established industrial suppliers with standard lead times. The primary supply chain risk at current scale is lead time management for power electronics during periods of high industrial demand. We are managing this through advanced purchasing and building strategic inventory buffers for long-lead components. As volume scales, we will implement formal supplier qualification programs and dual-source arrangements for critical components.

— FINANCIAL (5 QUESTIONS)

1. "When do you run out of money, and what happens if the raise takes longer?"

Answer: Our current runway, combined with the **$10M seed raise**, is structured to fund operations through the Zeeco ARC commercial deployment in **Q4 2026** and into the initial commercial ramp — approximately **18–24 months** of operational runway post-close. We have **raised $1.95M to date** from Cortado Ventures, Hurricane Ventures, and Techstars. In the event the raise extends, we have identified near-term revenue opportunities — paid pilots and engineering services contracts — that can extend runway without dilution. We are not a capital-intensive manufacturing business pre-revenue; our burn rate reflects an R&D and commercial development stage company, and we manage spending against defined milestones rather than a fixed monthly rate.

2. "$40M pre-money valuation at seed seems aggressive. How is this justified?"

Answer: The valuation reflects validated technology, a signed commercial deployment, and a **$20M LOI pipeline** — not just a prototype and a pitch deck. Comparable green hydrogen technology companies at seed stage with equivalent milestones have commanded similar or higher valuations. Our **$446/kW current capital cost**, with a clear path to **~$177/kW at scale**, establishes a cost position that, if achieved, represents a

meaningful competitive advantage in a market where incumbent electrolyzer costs remain $500–$1,500/kW. The 45V tax credit adds a policy tailwind that increases the addressable market for our specific cost profile. We believe the valuation appropriately reflects the de-risking achieved through technology validation, IP filing, and the Zeeco partnership.

3. "What's your burn rate and how do you manage cash discipline?"

Answer: Our burn rate is structured to reflect our stage. At pre-revenue, spending is concentrated in three areas: R&D and manufacturing development, business development and sales, and the engineering work required to prepare the Zeeco deployment. We do not carry overhead typical of later-stage companies — no large sales force, no extensive physical footprint beyond our **5,000 sq ft Oklahoma City facility**. We operate with milestone-based budget discipline: capital expenditures are tied to defined technical and commercial gates, and we do not advance to the next spending tier without meeting the prior milestone. This approach is standard in capital-efficient deep-tech companies and protects investor capital against premature scaling.

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4. "How will you deploy the $10M seed round?"

Answer: The **$10M seed** is allocated across four priorities: **(1) Manufacturing scale-up** — expanding production capacity for T-25 and T-125 units to serve the initial commercial pipeline; **(2) Commercial deployment execution** — the engineering, installation, and commissioning costs associated with Zeeco ARC and subsequent deployments; **(3) R&D advancement** — continued stack performance optimization, lifetime testing, and T-125 development; **(4) Team expansion** — hiring in manufacturing engineering, field service, and business development to support the commercial ramp. We will provide investors with a detailed use-of-proceeds schedule and milestone-linked reporting as part of the investment documentation.

5. "What are the realistic exit paths and return scenarios?"

Answer: We see three credible paths. First, **strategic acquisition** by an energy major, industrial gas company, or large electrolyzer OEM that wants to acquire proven membrane-free technology and a commercial customer base — the most likely near-term exit at $250M–$1B+ depending on revenue scale. Second, **private equity recapitalization** as we reach $20M+ ARR, providing liquidity to early investors while funding the next growth phase. Third, **public markets** via IPO or SPAC as the green hydrogen category matures and public market investors seek pure-play exposure to the sector. In all scenarios, the value driver is the same: demonstrating that our cost and efficiency profile translates into durable customer contracts and expanding gross margins as manufacturing scales.

— TEAM & RISK (5 QUESTIONS)

1. "Two co-founders and a small team. What's your key-man risk?"

Answer: Key-man risk is real at this stage, and we address it through two parallel strategies. First, we are actively building the team — manufacturing engineers, field service personnel, and business development leads are being hired using seed capital specifically to distribute critical institutional knowledge beyond the founding team. Second, the core IP is documented: the patent filings, design specifications, and process documentation exist independently of any individual. **Colby DeWeese (CEO)** drives commercial strategy and execution; **Dr. Caleb Lareau (President)** leads technology development. Their roles are distinct, and the company can continue to function if either is temporarily unavailable. We will have key-man insurance in place and will establish a technical advisory board to provide additional redundancy for technology decision-making.

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2. "Oklahoma City — why not the Bay Area or Boston? Does location limit you?"

Answer: Oklahoma City is a strategic choice, not a default. Oklahoma has the second-largest wind energy capacity in the US, making it a natural hub for green hydrogen production at competitive electricity costs. The state offers favorable business conditions, significantly lower operating costs than coastal hubs, and proximity to our initial target markets: midcontinent oil and gas industrials transitioning to clean energy. Our first commercial customer, **Zeeco**, is headquartered in Tulsa — proximity matters for a capital equipment company managing installation and service. For talent, we recruit nationally and supplement with the strong engineering base at Oklahoma State University and the University of Oklahoma. We are not limited by geography; we are advantaged by it.

3. "What regulatory risks could derail your plans?"

Answer: The primary regulatory risks are: **(1) Changes to 45V tax credit eligibility** — our financial model is built to work without the credit, so this is additive risk rather than existential; **(2) State-level permitting timelines** — hydrogen facility permitting varies by jurisdiction and can extend project timelines; **(3) Safety and emissions regulations** — we view stricter standards as a competitive advantage for our near-zero-emission, low-temperature system relative to incumbent technologies. We manage regulatory risk through early engagement: we are involved in DOE hydrogen hub working groups and maintain relationships with state energy agencies in our target markets. No single regulatory change would eliminate our market opportunity, because the economic case for our technology does not require any specific policy to hold.

4. "How will you manage execution risk as you scale production?"

Answer: We have structured the scale-up to be milestone-driven. The Zeeco ARC deployment in **Q4 2026** is the first commercial gate — it validates manufacturing quality, installation process, and system performance in an industrial environment before we commit capital to expanding production for subsequent customers. Each subsequent deployment builds on the prior one, and we do not advance manufacturing investment

ahead of contracted revenue. Quality control systems, supplier qualification, and manufacturing documentation are being built in parallel with the first deployment so that the second and third units benefit from lessons learned without repeating them. This approach accepts a slightly longer time-to-scale in exchange for significantly lower execution risk.

5. "What are the hazardous materials risks, and how do you manage them?"

Answer: Hydrogen is a well-characterized industrial gas with decades of established safety protocols in oil refining, ammonia production, and fuel cell applications. Our system operates at **near-ambient temperature (<30°C)** and managed pressure, which reduces thermal and pressure-related risk relative to high-temperature alternatives. Safety design features include continuous hydrogen detection, automatic isolation valves, pressure relief systems, and remote monitoring with automated shutdown on out-of-spec readings. Our operating procedures are being developed in compliance with **NFPA 2 (Hydrogen Technologies Code)**, OSHA Process Safety Management standards, and applicable DOT regulations for hydrogen storage and handling. We treat safety compliance as a commercial requirement — customers in industrial environments cannot accept systems that do not meet or exceed applicable standards, and our sales process includes safety documentation as a standard deliverable.

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